IN THE SUPREME COURT OF ZAMBIA Appeal No. 22/2025
HOLDEN AT LUSAKA
(Civil Jurisdiction)

REPUBLIC OF ZAMBIA
SUPREME COURT OF ZAMBIA
JUDICIARY
17 APR 2026
SUPREME COURT REGISTRY
P.O. BOX 50067, LUSAKA

BETWEEN:

FIRST QUANTUM MINING AND OPERATIONS LIMITED **APPELLANT**

AND

ZUBAO HARRY JUMA **RESPONDENT**

Coram: Malila, CJ, Kaoma and Chisanga, JJS
On 13th November 2025 and 17th April 2026

For the Appellant: Mr. L. Linyama of Eric Silwamba, Jalasi & Linyama Legal Practitioners and Mr. H. Pasi of Mando & Pasi Advocates

For the Respondent: Mr. C. Chungu of Nsapato & Co, under LAZ Probono Scheme

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JUDGMENT

Kaoma, JS, delivered the Judgment of the Court.

Cases referred to:

1. **Stanbic Bank Zambia Ltd v Natasha Patel - Appeal No. 274/2022**
2. **Midlands Milling Limited v Lloyd Tembo – Appeal No. 297 of 2022**
3. **Atlantic Bakery v ZESCO Ltd - Selected Judgment No. 61of 2018**
4. **Murray & Roberts Constructions Ltd v Lusaka Premier Health Ltd and Another - SCZ Appeal No. 141/2019**
5. **Kingfred Phiri v Life Master Ltd – Appeal No. 24 of 2023**
6. **Anderson Kambole Mazoka & Others v Levy Patrick Mwanawasa & Others (2005) Z.R. 138**
7. **Silumbwe v Barclays Bank Zambia Ltd – SCZ Judgment No. 40 of 2017**
8. **Zambia National Commercial Bank PLC v Geoffrey Muyamwa and 88 Others – SCZ Selected Judgment No. 37 of 2017**

Legislation and works referred to:

1. **Employment Code Act, No. 3 of 2019**
2. **Constitution of Zambia 2016, Article 18**
3. **Oxford Advanced Learners' Dictionary, 6th Edition by A.S Hornby, edited by Sally Wehmeier, Oxford University Press 2000**

1 Introduction

1.1 This appeal, arises from an employment dispute that has traversed the Industrial Relations Division of the High Court and the Court of Appeal, culminating in the grant of leave to appeal by the Court of Appeal, propelled by the profound legal uncertainty its own conflicting decisions have caused.

1.2 The appellant, First Quantum Mining and Operations Limited, seeks to impugn the judgment of the Court of Appeal delivered on 18th September 2024, which overturned the decision of the High Court dismissing the respondent's claim for service benefits following his summary dismissal from employment for gross misconduct.

2 Background Facts

2.1 The respondent, Zubao Harry Juma, was initially employed by the appellant on a fixed-term contract for 6 months commencing on 20th March, 2015 and lapsing on 19th September 2015 or upon completion of the project for which he was engaged, whichever event occurred first. At the end of the contract, the respondent was entitled to one month's gross salary for each completed year of service or pro rata; commutation of all or any outstanding leave days; and payment of all outstanding shifts.

2.2 By letter dated 14th September 2016, his fixed term contract of employment which was to expire on 19th September 2016, was renewed on a permanent basis effective 20th September 2016. All the other terms and conditions remained unchanged.

2.3 Subsequently, on 1st November 2020, the appellant notified the respondent of an impending termination of his employment by reason of redundancy, effective 30th November 2020. The letter also spelt out his redundancy package as 5 months' gross salary, K4,000.00 repatriation, commutation of all outstanding leave days, 13th cheque pro rata, and payment of all outstanding shifts, less any monies owed to the company.

2.4 However, on 12th November 2020, before the redundancy could take effect, the respondent was arrested by company security for unauthorised removal of company property. Following disciplinary proceedings, on 30th November 2020, where he admitted taking company property without authority, he was summarily dismissed from employment for gross misconduct effective forthwith.

2.5 The letter of summary dismissal indicated what he was entitled to, namely payment of all outstanding shifts, and commutation of all leave days, less any monies owed to the company.

2.6 After an unsuccessful appeal, against what he termed a severe decision, the respondent instituted proceedings in the Industrial Relations Division of the High Court, challenging the fairness of his dismissal and claiming, *inter alia*, "payment of service benefits and accrued leave days." The affidavit in support of the complaint cited the service benefits defined in the redundancy letter.

2.7 The appellant filed an answer and affidavit in support of the answer, but did not attend the hearing of the matter. After inquiring by the court, since the respondent appeared in person, he confirmed that his employment commenced on 20th September 2016 and that he was relying on his affidavit evidence. The learned trial judge (Mumba, J) dismissed the claim for unfair dismissal. He found that the dismissal was substantively and procedurally fair.

2.8 On service benefits, the court held that having been dismissed for cause, the respondent could not claim the redundancy benefits. The trial court also found that the respondent had failed to lead evidence specifying any other type of accrued service benefits he was claiming, beyond the redundancy benefits. Thus, his claim under this head failed. For accrued leave benefits, the court found that he was entitled to the benefits notwithstanding his dismissal from employment. Each party was ordered to bear own costs.

2.9 Aggrieved by the decision declining to award him service benefits for the reason that he had failed to lead evidence specifying any other type of accrued service benefits he was claiming, and costs, the respondent appealed to the Court of Appeal. His main ground of appeal assailed the trial court's refusal to award him "service benefits ... as contained in the redundancy termination letter exhibited as 'ZJH1' as read with the letter of offer of employment on a fixed term contract exhibited by the appellant as 'TC1'."

2.10 The Court of Appeal, in the impugned judgment, upheld the appeal. While accepting that the respondent had failed to prove his claim based on the redundancy letter, the Court *suo motu* determined two new issues: a) that the respondent was entitled to service benefits under his expired fixed-term contract, and b) that the respondent was entitled to a severance package under **section 54(1)(c)** of the **Employment Code Act**, holding that "employees engaged on a permanent basis are entitled to a severance package under that section".

2.11 This interpretation of **section 54(1)(c)** by the Court of Appeal directly contradicted its own recent decisions in **Stanbic Bank Zambia Limited v Natasha Patel**[1] and **Midlands Milling Limited v Lloyd Tembo**[2]. The appellant, with the respondent's support,

successfully obtained leave to appeal to this Court, recognising the profound questions of public importance the matter presents.

3 Appeal to this Court

3.1 There are two grounds of appeal, framed relatively as follows:

3.1.1 **The Court of Appeal erred in law when it, *suo motu*, fronted a ground of appeal anchored on the provisions of section 54(1)(c) of the Employment Code Act, an issue that was not the subject of the claim before the High Court when the appellant had consistently, albeit erroneously, canvased for a redundancy package.**

3.1.2 **The Court of Appeal erred in fact and law when contrary to its holding in the cases of Stanbic Bank Zambia Limited v Natasha Patel[1] and Midlands Milling (2011) Limited v Lloyd Tembo[2], it opined that in its interpretation of the above provision, employees engaged on a permanent basis are entitled to a severance package under section 54(1)(c) of the Employment Code Act.**

3.2 In support of ground 1, counsel for the appellant contends, in brief, that the Court of Appeal broke a foundational principle of adversarial litigation when it raised and determined issues which were not pleaded before the trial court, or raised in the grounds of appeal, and on which the appellant was not afforded an opportunity to be heard. It is argued that a court's jurisdiction is invoked and circumscribed by the pleadings; and the respondent's case was prosecuted solely on the redundancy package.

3.3 It is submitted that by introducing and deciding the case on unpleaded statutory and contractual claims, the court in effect tried a case that was never presented, thus violating the

appellant's right to a fair hearing under **Article 18** of the **Constitution**. Counsel relies on various authorities, including **Atlantic Bakery v ZESCO Limited**[3] and **Murray & Roberts Constructions Limited v Lusaka Premier Health Limited and Another**[4], which emphatically state that a court cannot grant relief that is not claimed or set up a new case for the parties.

3.4 With respect to ground 2, the appellant's brief argument is that the court's interpretation of **section 54(1)(c)** is patently erroneous because the provision expressly applies to a "contract of employment of a fixed duration." That a "permanent and pensionable contract," as defined in **section 3** of the Act, is practically distinct, expiring only upon retirement unless terminated and the court's failure to recognise this fundamental distinction resulted in a flawed analysis of the provision.

3.5 Further still, counsel submits, the court ignored its own consistent line of authority in **Stanbic Bank Zambia Ltd v Natasha Patel**[1] and **Midlands Milling Ltd v Lloyd Tembo**[2], where it held that severance pay under **section 54** is not available to dismissed employees, particularly those on permanent contracts. This departure from the principle of *stare decisis,* without justification, it is argued, creates a grave uncertainty in the law.

3.6 At the hearing of the appeal, Mr. Pasi, on behalf of the appellant, recapped the written arguments and stressed the contradictory line of authority from the Court of Appeal, ending in the decision of the full bench in **Kingfred Phiri v Life Master Ltd**[5], where the court sought to correct the erroneous interpretation in the present matter. Counsel urged us to endorse the decision in the latter case.

3.7 In response to ground 1, Mr. Chungu, counsel for the respondent, submits that the claim for "service benefits," though imprecise due to the respondent being unrepresented, was sufficiently pleaded; that the Industrial Relations Division should prioritise substantial justice over technical pleadings; and that a point of law could be raised at any stage, hence the claim under **section 54(1)(c)** and the fixed term contract.

3.8 As to ground 2, counsel submits that **section 54(1)(c)** applies to permanent contracts, and that all employment contracts in Zambia are "for a fixed duration" since it is known that employees on such contract will retire on reaching retirement age. He insists that permanent contracts are not among the categories expressly excluded by **section 54(3)** of the Act.

3.9 Because of the profound legal doubt created by the conflicting judgments of the Court of Appeal, counsel urges us to provide an

authoritative and final interpretation of **section 54**. He says this is a matter of significant public importance affecting countless employment relationships across the nation.

3.10 In reply, Mr. Linyama the learned co-counsel for the appellant re-emphasises that the duty to do substantial justice does not licence a court to become an advocate for a party or to construct a case not presented by a party. Counsel maintains that the respondent's pleadings and evidence were specific to the redundancy claim, and that the introduction of new issues was procedurally erroneous.

4 Consideration of the Appeal and Decision

4.1 We have considered the record of appeal in its entirety and the submissions by learned counsel for the parties and the numerous authorities cited. This appeal presents us with an opportunity to reaffirm first, principles of procedural law and to provide much-needed clarity on a contentious area of substantive employment law. We propose to deal with the grounds of appeal *seriatim*.

4.2 With respect to ground 1, the appellant contends that the Court of Appeal fundamentally erred by adjudicating upon issues not pleaded before the trial court. We start by stating the obvious that pleadings (in this case the complaint, answer, reply and affidavits) are the essential, foundational documents in civil litigation that

define the scope of the dispute, facts and legal issues. We have made this point very clear in a plethora of authorities.

4.3 In **Anderson Kambela Mazoka & Others v Levy Patrick Mwanawasa & Others**[6], we held that pleadings serve to define the action between the parties, to give fair notice of the case that must be met, and to set the boundaries within which judicial authority may be exercised. A party cannot, at the trial of a cause, depart from the case set up in their pleadings. **Silumbwe v Barclays Bank Zambia Limited**[7] cited by the appellant is another good example. We said in that case that as a general rule, a party cannot rely on matters which have not been pleaded.

4.4 The respondent's notice of complaint and supporting affidavit were clear. As correctly argued by counsel for the appellant, his claim for "service benefits" was explicitly and exclusively tied to the items listed in the redundancy letter (Exhibit "ZJH1"). The trial court correctly confined itself to this pleaded case. There was not the slightest trace of evidence supporting a claim under **section 54(1)(c)** of the Act or any entitlement under his fixed-term contract which expired on 19th September 2015, long before the respondent was placed on a permanent contract.

4.5 In addition, the trial court found, as a fact, that the respondent was dismissed for gross misconduct; he was not made redundant. Therefore, the foundation of his claim collapsed. As to service benefits, the trial court rightly opined that the respondent needed to lead evidence specifying the type of accrued service benefits he was claiming and how the benefits accrued to him. The court was right that without such evidence, it was difficult to make an open ended award. For that reason, the trial court found that the respondent had failed to prove his claim to service benefits.

4.6 With respect to accrued leave benefits, the trial court correctly held that the respondent was entitled to the benefits notwithstanding his dismissal from employment. The court found that the respondent was entitled to 24 days' annual leave by looking at clause 5(a) of the fixed term contract of employment exhibited by the appellant as "TC1" as read with the notice of renewal of employment on permanent basis. As we said earlier, the latter document indicated that all the other terms and conditions of employment remained unchanged (as in the fixed term contract).

4.7 However, this did not mean that the respondent was entitled to the service benefits under the fixed term contract that had expired before he was offered employment on permanent basis or that he

had not been paid gratuity at the end of the contract or any other renewed contract.

4.8 Therefore, the Court of Appeal's decision to venture into the benefits under the fixed-term contract/s which expired before the respondent was employed on permanent basis and into **section 54(1)(c)**, was a grave error. It constituted a radical departure from the case the respondent had pleaded and presented at the trial.

4.9 In **Atlantic Bakery v ZESCO Limited**[3], we said a court should confine its decisions to the questions raised in the pleadings; that it can thus not grant relief which is not claimed; and that litigation is for the parties, not the court. Mr. Chungu's invocation of the principle that Industrial Relations Courts should administer "substantial justice" is not a remedy for imperfect pleadings.

4.10 Substantial justice is justice according to law, administered fairly to both parties. It does not empower a court to assume the role of an advocate and craft a new cause of action of its own accord. As properly submitted by counsel for the appellant, to do so, as occurred in this matter, is a profound violation of the *audi alteram partem* rule, a cornerstone of natural justice embedded in **Article 18** of our Constitution of 2016.

4.11 Quite clearly, the appellant was denied the right to adduce evidence or make submissions on whether benefits under the fixed-term contract had already been paid, or on the correct interpretation of **section 54** in the context of summary dismissal.

4.12 In **Zambia National Commercial Bank PLC v Geoffrey Muyamwa and 88 Others**[8], we clarified the jurisdiction and power of the Industrial Relations Court on unpleaded matters and reliefs vis-à-vis the court's power to grant such remedy as it considers just and equitable and to make any other order or award as the court may consider fit in the circumstances of the case. We shall quote only a portion of the text at pages 16 to 17 of the appellant's List of Authorities and Heads of Argument. It reads as follows:

> **".... The decision we have made in the preceding paragraph follows our consideration and dismissal of the argument by counsel for the respondents that the court below was on firm ground when it ordered payment of long service gratuity though it was not specifically pleaded because the court below enjoys jurisdiction to award any remedy it deems reasonable as per the Matale case and due to the fact that it is a court of substantial justice. We have dismissed this argument because, though it is true that the court below is at large to award any remedy it deems suitable in doing substantial justice, it must not be one-sided nor is it akin to trial by ambush and must, therefore, not override the basic tenets of justice by which a party is afforded a right to be heard on a remedy sought by the opponent. Consequently, the respondents in this matter can only invoke the principle of substantial justice on their quest for an award of long service gratuity if they can show that the appellant's right to be heard on the claim has not been breached. This, they should have done, by showing that they pleaded long service gratuity and led evidence on it. In this case, the record clearly shows that long service gratuity was not an issue and as such not addressed by the appellant. The court below was, therefore, not at large to award it."**

4.13 Furthermore, the submission that a point of law can be raised at any time is not absolute. It applies to points arising from the pleaded facts and issues, not to an entirely new factual and legal basis for a claim. The alleged point of law, namely, the applicability of **section 54(1)(c)** of the Act, was intricately linked to an unpleaded claim regarding benefits under the fixed term contract.

4.14 We, therefore, find and hold that the Court of Appeal acted in excess of its jurisdiction by determining issues that were not pleaded before the trial court and not properly arising from the grounds of appeal. Ground 1 of the appeal has merit and succeeds.

4.15 We come now to ground 2, concerning the interpretation of section **54(1)(c)**. The appellant contends that the Court of Appeal erred by putting forward an interpretation of the law that is not only erroneous but also plainly inconsistent with its own recent jurisprudence. Although the success of ground 1 is determinative of this appeal, the profound public importance of the legal issue raised by this ground of appeal and the conflicting judgments of the Court of Appeal compel us to provide definitive guidance.

4.16 The question is: Does **section 54(1)(c)** entitle an employee on a permanent and pensionable contract, who has been summarily dismissed for gross misconduct, to a severance pay? The principles

of statutory interpretation require us to ascertain the intention of the legislature from the words used, read in their context and in light of the statute's overall purpose and scheme.

4.17 **Section 54(1)** begins with a general condition: "An employer shall pay an employee a severance pay where the employee's contract of employment is terminated or has expired". It then proceeds to prescribe specific circumstances and computation methods. Paragraph (c), on which the Court of Appeal relied, states precisely "where a contract of employment of a fixed duration has been terminated, severance pay shall be a gratuity at the rate of not less than twenty-five percent of the employees' basic pay earned during the contract period as at the effective date of termination."

4.18 **Section 54(3)** provides that "the severance pay under this section shall not be paid to a casual employee, a temporary employee, an employee engaged on a long-term contract or an employee serving a period of probation."

4.19 The Act also provides definitions that are crucial to this analysis. A "permanent contract" is defined in **section 3** as "a contract of employment, if not terminated in accordance with this Act, expires on the employee's attainment of the retirement age specified under a written law."

4.20 However, the Act does not define what a fixed term contract or a contract of employment of a fixed duration means. The Oxford Advanced Learners' Dictionary, 6th Edition by A.S Hornby, defines a fixed-term contract as one that only lasts for the agreed period of time. Duration is simply the length of time that something lasts. Therefore, fixed term or fixed duration would be the time or period the contract of employment would last as agreed by the parties.

4.21 Consequently, a permanent contract, which has no set end date, is practically and legally distinct from a fixed duration contract, which has a predetermined end date. Therefore, the Court of Appeal committed a serious error by conflating these two distinct categories of employment contracts.

4.22 Moreover, a holistic analysis of **section 54(1)** reveals a carefully laid out scheme for severance pay that covers specifically termination or expiry of a contract of employment: (a) medical discharge, (b) severance pay for a fixed duration contract or retirement benefits, (c) termination of a fixed duration contract, (d) redundancy pay, or (e) death in service. Sub-section 2 provides for payment of severance pay where the employee dies before receiving the severance pay. This scheme clearly omits summary dismissal or dismissal for misconduct. The omission is not accidental.

4.23 We are not persuaded, upon construing the Act as a whole, by Mr. Chungu's argument that all contracts in Zambia are now of fixed duration because it is known that an employee on a permanent contract will retire upon reaching the retirement age. The entitlement on dismissal is explicitly addressed in **section 51(1)** which stipulates that an employer who summarily dismisses an employee shall pay "the wages and other accrued benefits due to the employee up to the date of dismissal."

4.24 To read **section 54(1)(c)** as providing an additional windfall to an employee dismissed for gross misconduct would be to render **section 51** otiose and to create an absurdity that the legislature could not have intended; rewarding an employee for their own misconduct, a proposition that offends basic principles of justice.

4.25 The Court of Appeal's own decisions, prior to and after the present matter, confirms that the impugned decision was erroneous and was rendered per incuriam. In **Stanbic Bank v Natasha Patel**[1], the court held that "**section 54(1)(c)** applies only to employees eligible for gratuity ... It does not apply to employees on permanent and pensionable contracts." In **Midlands Milling v Lloyd Tembo**[2], it was held that "severance pay is not applicable to a dismissal. It only applies to termination and expiration of contract."

4.26 The full bench in **Kingfred Phiri v Life Master Limited**[5] rightly sought to correct the error in the present matter. Mr. Chungu spiritedly tried to persuade us that all the above mentioned decisions of the Court of Appeal are wrong, but we are not swayed.

4.27 The principle of *stare decisis* is indispensable for predictability and consistency in the law. While courts can depart from previous decisions under exceptional circumstances, such a departure must be reasoned and justified. The Court of Appeal in this case provided no justification for its stark departure from its own settled case law. This itself was an error of law.

4.28 Hence, we find and hold that the Court of Appeal's interpretation of **section 54(1)(c)** in the assailed judgment was fundamentally flawed. A permanent and pensionable employee who is dismissed from employment for gross misconduct is not entitled to severance pay under **section 54(1)(c)** of the Act. Their entitlement is limited to "wages and other accrued benefits" as stipulated in **section 51(1)**. Accrued benefits include prorated gratuity (where applicable), untaken leave days, and repatriation costs.

4.29 In this case, as the trial court said the respondent did not lead evidence to show what other accrued service benefits he was entitled to. As we said earlier, he did not claim for payment of

gratuity under the expired fixed-term contract or under **section 54(1)(c)**. However, since on dismissal the respondent was entitled to wages (or outstanding shifts) and accrued benefits, this should have included, leave days and repatriation costs. Ground 2 also succeeds except to the extent indicated.

5 Conclusion

5.1 For the reasons stated above, this appeal has merit and is allowed. The judgment of the Court of Appeal is accordingly set aside. Instead we uphold the judgement of the trial court and order that the respondent be paid repatriation costs in addition to his wages and commutation of leave days.

5.2 Given the unique circumstances of this case, including the respondent's support for the clarification of the law, we make no order as to costs.

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M. MALILA
CHIEF JUSTICE

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R.M.C. KAOMA
SUPREME COURT JUDGE

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F.M. CHISANGA
SUPREME COURT JUDGE